

ERP TRANSFORMATION PROGRAM

TO: AMG Executive Team

FROM: Transformation Advisory

DATE: 16th July, 2026

RE: ERP Replacement Program – Structure, Scope and Data Continuity

This memo highlights our recommended approach to AMG's ERP replacement over the next 12 months. These recommendations are based on the following principles:

Scope risk out of sequence,

Day-1 discipline and

Preserving leadership's view of the business.

These ideas are presented in more detail in the slides that accompany this memo.

1. Overall Approach

Key Objectives

- **Unify the fragmented application landscape.** Unify the fragmented application landscape, binding Finance, Procurement, Manufacturing and Engineering around a common source of truth, thereby eliminating the manual workarounds and information silos that impede the company's operations.
- **Establish accurate, single-source BOM data.** Create single source of truth for BOM data that enables accurate transitions from Engineering BOM (EBOM) to Manufacturing BOM (MBOM) and that the information is accurate enough to serve as a reliable source of reference for both the custom equipment and aftermarket parts businesses.
- **Restore order-level contribution margin visibility.** As a result of the first two objectives, drive the business towards having accurate information on labor, material and overhead by order.

Phasing Approach

The project should be deployed in phases, with higher-risk and lower-scope initiatives deferred to later stages:

- **Phase 1 (Months 1–6) – Foundation:** Finance, Procurement and the Aftermarket parts/service business functions go live in Phase 1. These involves more standardized and lower-risk processes within the company and therefore, its launch serves to test the viability of the platform before the introduction of core, higher-risk functions..
- **Parallel workstream (Months 1–6) – BOM stabilization:** The fragile Engineering-BOM link is decoupled, stabilized and addressed immediately and independently so that the Board's number one priority, **margin protection** is not delayed.
- **Phase 2 (Months 6–12) – Core Operations:** Manufacturing/MRP and full Engineering-BOM integration for the ETO business will be implemented once the platform, team and governance model are proved.

Top Risks

- **BOM/data migration risk** – 20+ years of legacy data and a delicate Engineering-BOM synchronization process could carry over various errors into the new system. The current active BOM's should be validated first, with the rest archived as read only.
- **Scope creep from customization** – The pressure of replicating legacy processes down to the detail has the potential to derail the 12-month timeline. The risk is mitigated by designing in a standard-first approach while scoping out the customizations that would provide ETO/BOM capability and protection.

- **Change management / user adoption** – 80 legacy users might abandon the new system in favor of Excel. Early engagement of power users, comprehensive training aligned to the go-live phases and active adoption by leadership in new reporting formats can alleviate the risk.
- **Multi-entity complexity** – Intercompany, multiple-currency (US/Canada) and reporting consolidation might cause delays in go-live. It should be incorporated into Phase 1 foundation design instead of waiting for later stages.
- **Cutover disruption** – Order entry, procurement, payroll or manufacturing processes might be interrupted during the go-live window. The disruption can be minimized by scheduling the cutover during low-volume periods, keeping the legacy system as the ‘single source of truth’ until the new system becomes production-ready, conducting a dress rehearsal cutover and providing extra support during the first 2-3 weeks.

Scope Control

- **Locked Day-1 scope baseline** – The Executive Team formally approves the target functionality per each phase that is “must-have” to deliver value; everything else is intentionally “parked” for later consideration.
- **Standard-first customization rule** – ERP standard functionality is utilized first; customization is only approved if it is required to protect a competitive differentiator, namely ETO/BOM management.
- **Formal change-control governance** – Any scope change request after the baseline is set requires the approval by the project governance board (composed of the Program Sponsor, IT Finance) with explicit trade-off analysis. No addition without a corresponding cut or delay.

2. Scope & Sequencing

Day-1 Must-Haves (Phase 1 scope)

- Order entry and tracking – ability to capture and track a customer order for aftermarket parts
- Inventory visibility – ability to view inventory to ensure that the ordered part is available for delivery
- Invoicing – ability to invoice a customer for the delivered product
- Payment / AR tracking – ability to view payments received and amounts overdue for payment to manage cash flow
- Procurement / purchase orders – ability to purchase materials and pay suppliers to maintain inventory
- Labor cost data feed from HRIS – a light data feed (one-way) to the ERP system of labor hours for cost accounting purposes; the HRIS/Payroll system itself is outside the scope of the ERP implementation

Migration Exclusions

Not all data of 20+ years that an enterprise has to offer needs to be migrated on Day 1. Only the necessary data for conducting daily business operations will be migrated, while everything else will be securely archived:

- Migrated to the new system: open transactions at the time of going live, approximately the last 1-2 years of transaction data and master data (customers, vendors, active product/BOMs).
- Archived: closed orders/work orders more than 1-2 years old, financial data irrelevant to reporting needs, inactive customers/vendors and obsolete BOMs.
- Access is retained: Legacy ERP is accessible in read-only mode after Go-Live to assure that no data is lost and all information is available upon request.

Customization Discipline

AMG will adhere to a standard-first mindset and the functions provided by the new ERP system will be used wherever possible. The customization of the system will only be contemplated when it serves to protect the company’s competitive advantage, such as AMG’s engineer-to-order and BOM processes. Any other adjustments to the system will be processed as changes to the status quo rather than modifications to the system itself.

3. Data & Reporting

Historical Data Migration

AMG's historical data does not need to be migrated into the new ERP for the leadership to have access to it. Only the active history, which comprises the past one or two years, will be migrated during the cutover. The rest of the historical data will be stored in the legacy ERP for future reference. It will not be deleted or turned off but rather left as a read-only layer that the finance leaders can access at any given moment if they need to analyze a historical transaction.

Reporting During Transition

During the transition period, some of AMG's operations will reside in one ERP system whereas the rest will continue to operate in the other. Instead of syncing the two systems' data and creating a new point of failure in the process, the systems will remain decoupled. Simultaneously, reports from both systems will be combined and presented in a single dashboard for the leadership to review the unified business metrics. The transitional joint-reporting process will be discontinued when the transition period ends.

Month-End Close Continuity

The finance team will ensure that month closes are consistently performed uninterrupted as the transition takes place.

As the transition occurs, all business units will close using whatever system they are on for that particular month whether it is the legacy or new system. HRIS will continue to provide labor cost information in the same manner as it always has with no changes needed. In the months where the business is on both systems, Finance will be responsible for combining the two sets of information to close the books.

Additionally, prior to the cutover for each phase, we will perform a practice close on both systems to assure that the numbers tie together before the finance team actually start closing the books on a monthly basis with the new system. This will allow Finance to keep month end close processes consistent across all phases of implementation.